

Calendar Line 5

Case Name: *Marcelo Vrignand Ferrari v. Apple Inc.*

Case No.: 25CV473336

Defendant Apple Inc. (“Apple”) demurs to the first, second, and third causes of action alleged in the first amended complaint (“FAC”) filed by plaintiff Marcelo Vrignand Ferrari (“Ferrari”). The court previously sustained, with leave to amend, Apple’s demurrer to Ferrari’s initial complaint. (Order Sustaining Defendant’s Demurrer with Leave to Amend, filed March 16, 2026.)

1. Preliminary Issues

Ferrari has filed (at least) four opposition briefs, two on June 29, 2026 and two on September 9, 2026. Code of Civil Procedure section 1005 does not permit a party to file separate oppositions to a single demurrer. Moreover, taken together, these briefs exceed the 15-page limit outlined in California Rules of Court, rule 3.1113(d). The court, in its discretion, treats these briefs as a single opposition but again cautions Ferrari to comply with the court rules and procedures with respect to future filings. This is the second time Ferrari has failed to do so in opposition to a demurrer from Apple. Self-represented litigants “are held to the same standards as attorneys” and must comply with the rules of civil procedure. (*Kobayashi v. Superior Court* (2009) 175 Cal.App.4th 536, 543, internal citations omitted.)

The court also notes that Ferrari has submitted a number of declarations in support of his opposition. For example, Ferrari has submitted to the court documents titled “Plaintiff’s One-Page Supplemental Declaration Regarding Apple-Controlled Payment Authentication” and “Plaintiff’s Opposition Declaration and Deposition-Style Statement of Facts.” These declarations and evidence are extrinsic matters that the court cannot consider on demurrer. “A demurrer tests the pleadings alone and not the evidence or other extrinsic matters.” (*SKF Farms v. Superior Court* (1984) 153 Cal.App.3d 902, 905.) The “only issue involved in a demurrer hearing . . . [is] whether the complaint, as it stands, unconnected with extraneous matters, states a cause of action.” (*McKenney v. Purepac Pharm. Co.* (2008) 167 Cal.App.4th 72, 77, internal citation and quotation marks omitted.)

2. 47 U.S.C. § 230

The court begins with Apple’s argument under 47 U.S.C. § 230 (“Section 230”). (Memorandum of Points and Authorities in Support of Demurrer (“MPA”), pp. 5:24-7:15.) Section 230 of the Communications Decency Act (“CDA”) provides: “No provider or user of an interactive computer service shall be treated as the publisher or speaker of any information provided by another information content provider.” (47 U.S.C. § 230, subd. (c)(1).) Section 230 further provides that “[n]o cause of action may be brought and no liability may be imposed under any State or local law that is inconsistent with this section.” (47 U.S.C. § 230, subd. (e)(3).) “Section 230(c)(1) thus immunizes providers of interactive computer services (service providers)

and their users from causes of action asserted by persons alleging harm caused by content provided by a third party. This form of immunity requires: (1) the defendant be a provider or user of an interactive computer service; (2) the cause of action treat the defendant as a publisher or speaker of information; and (3) the information at issue be provided by another information content provider.” (*Gentry v. eBay, Inc.* (2002) 99 Cal.App.4th 816, 830 (*Gentry*).)

The court finds that first and third elements have both been satisfied. As to the first element, the CDA defines an “interactive computer service” as “any information service, system, or access software provider that provides or enables computer access by multiple users to a computer server, including specifically a service or system that provides access to the Internet and such systems operated or services offered by libraries or educational institutions.” (47 U.S.C. § 230, subd. (f)(2).) Here, the FAC alleges that Apple “hosted and distributed an application titled ‘Bitcoin Mining’ through the Apple App Store.” (FAC, p. 1.) As to the third element, the CDA defines an “information content provider” as “any person or entity that is responsible, in whole or in part, for the creation or development of information provided through the Internet or any other interactive computer service.” (47 U.S.C. § 230, subd. (f)(3).) The FAC alleges that an application titled “Bitcoin Mining” “promised cryptocurrency mining rewards in exchange for watching advertisements, purchasing VIP mining power, and completing Know Your Customer (KYC) verification purchases.” (FAC, p. 1.)

Turning to the second element, the FAC alleges fraud on the basis that Apple hosted and distributed Bitcoin Mining, an application that “misrepresented cryptocurrency mining services and induced Plaintiff to make purchases . . .” (FAC, p. 1.) The FAC alleges negligence on the basis that Apple owed “a duty of care to App Store users to prevent fraudulent applications from operating on its platform. Apple breached that duty by allowing the fraudulent app to remain available and by processing in-app transactions associated with the app.” (*Id.* at p. 2.) The FAC alleges that Apple violated California’s unfair competition law (“UCL”) by distributing and profiting from Bitcoin Mining. (*Ibid.*)

These allegations are analogous to those at issue in *Diep v. Apple, Inc.* (9th Cir. 2024) 2024 U.S. App. LEXIS 7214 (*Diep*), where the Ninth Circuit held that Section 230 barred certain causes of action because they sought to hold Apple liable for authorizing, monitoring, and failing to remove an app from its app store—the SAC alleges liability against Apple on the basis that it hosted an app called Bitcoin Mining, that it owed a duty to App Store users to prevent fraudulent applications from operating on its platform, and that it “distributed” Bitcoin Mining. (FAC, pp. 1-2; *Diep, supra*, 2024 U.S. App. LEXIS at pp. 2-3.)

The court is not persuaded by Ferrari’s argument that the FAC alleges that Apple did more “than merely publish third-party words” because “Apple controlled the App Store distribution channel, the in-app purchase mechanism, the payment confirmation screen, the device-based authentication experience. . . .” (Plaintiff’s Opposition to Defendant Apple Inc.’s Demurrer; Memorandum of Points and Authorities; Declaration of Plaintiff (“Opposition”), pp. 1:24-2:3, filed September 9, 2026.) Problematically, the FAC does not actually allege any of these facts.

Ferrari cites *Diep* and *In re Apple Inc. Litig.* (N.D. Cal. Sept. 2, 2022) 625 F.Supp.3d 971 (*Apple Inc.*) in opposing Apple’s demurrer. (Opposition, p. 3:10-19.) In *Apple Inc.*, the Northern District of California found that two theories of liability alleged by the plaintiffs sought to hold the “Platforms responsible for their own illegal conduct—the sale of gambling chips” and the processing of “*unlawful* transactions for *unlawful* gambling.” (*Apple Inc.*, *supra*, 625 F.Supp.3d at p. 994, internal citation omitted, emphasis original.) In *Diep*, the Ninth Circuit held that the plaintiff’s state law consumer protection claims did not “arise from Apple’s publication decisions as to whether to authorize” the third-party app. (*Diep*, *supra*, 2024 U.S. App. LEXIS 7214 at p. 5.) “Rather, these claims [sought] to hold Apple liable for its own representations concerning the App Store and Apple’s process for reviewing the applications available there.” (*Ibid.*; see also *Pirozzi v. Apple Inc.* (N.D. Cal. Dec. 20, 2012) 913 F.Supp.2d 840, 849 [“To the extent that Plaintiff’s claims allege that Apple’s misrepresentations induced Plaintiff to purchase an Apple Device, those claims do not seek to hold Apple liable for making Apps available on its website. In that context, even if Apple acts as an ‘interactive computer service,’ Plaintiff seeks to hold it liable as the ‘information content provider’ for the statements at issue.”].)

Again, the FAC does not allege that Apple’s “transaction conduct” is itself illegal or identify any representation made by Apple concerning its app store or related processes. The FAC alleges that Apple “hosted and distributed an application . . .”, “owed a duty of care to App Store users to prevent fraudulent applications from operating on its platform,” and “distribut[ed] and profit[ed] from [Bitcoin Mining].” (FAC, pp. 1-2.) Ferrari requests leave to amend to allege that “all mining packages, or the relevant packages at issue, were available through Apple’s payment ecosystem; that the purchases were authenticated through fingerprint, Face ID, Apple ID, or other Apple-controlled confirmation; that Plaintiff relied on that Apple-controlled process as a trust signal; and that Plaintiff seeks liability on Apple’s own transaction conduct, not merely on app content.” (Opposition, p. 3:20-24.)

But, Ferrari’s proposed amendments do not actually identify any representation made by Apple and whether “all mining packages . . . were available through Apple’s payment ecosystem” goes to the issues discussed by both the Ninth Circuit in *Diep* and the Northern District of California in *Apple Inc.*—Section 230 bars liability for authorizing, monitoring or failing to remove an app from an app store and “amplifying” content. (*Diep*, *supra*, 2024 U.S. App. LEXIS 7214 at p. 3; *Apple Inc.*, *supra*, 625 F.Supp.3d at p. 994 [“Allegations that the Platforms are liable for actions that rely on algorithms to ‘amplify and direct users to content,’ like the social casino apps, cannot withstand section 230’s grant of immunity.”], internal citation omitted.)

Ultimately, then, the court is not convinced that Ferrari can submit an amendment that will change the result in this instance. (*Haskins v. San Diego County Dept. of Public Welfare* (1980) 100 Cal.App.3d 961, 965 [court may deny leave to amend “where it is probable from the nature of the defects and previous unsuccessful attempts to plead that the plaintiffs cannot state a cause of action”], internal citation omitted; see also *Shaeffer v. Califia Farms, LLC* (2020) 44 Cal.App.5th 1125, 1145 [“The onus is on the *plaintiff* to articulate the specifi[c] ways to cure the identified defect, and absent such an articulation, a trial or appellate court may grant leave to amend only if a potentially effective amendment [is] both apparent and consistent with the

plaintiff's theory of the case.'], internal citation and quotation marks omitted, emphasis original.)

For the reasons discussed above, the court SUSTAINS Apple's demurrer to the FAC's first, second, and third causes of action without leave to amend. The court addresses Apple's remaining arguments, which it also finds persuasive, below.

3. First Cause of Action: Fraud

The FAC's first cause of action does not allege that Apple made a false representation, that Apple knew this misrepresentation was false at the time it was made, that Apple intended to deceive Ferrari, or that Ferrari suffered any damage as a result of any false representation made by Apple. (FAC, p. 1 ["Defendant Apple Inc. hosted and distributed an application that misrepresented cryptocurrency mining services and induced Plaintiff to make purchases. Plaintiff reasonably relied on the legitimacy of the Apple App Store and suffered damages as a result."]; *West v. JPMorgan Chase Bank, N.A.* (2013) 214 Cal.App.4th 780, 792 (*West*) ["The elements of fraud are (1) the defendant made a false representation as to a past or existing material fact; (2) the defendant knew the representation was false at the time it was made; (3) in making the representation, the defendant intended to deceive the plaintiff; (4) the plaintiff justifiably relied on the representation; and (5) the plaintiff suffered resulting damages."], internal citation omitted.) Given this, the court agrees with Apple that the FAC "fails to allege that *Apple* (as opposed to the third-party creators of the app) made any material representations upon which Plaintiff relied to his detriment." (MPA, pp. 7:25-8:2, emphasis original.)

Moreover, as Apple points out, fraud "must be pleaded with specificity rather than with general and conclusory allegations. The specificity requirement means a plaintiff must allege facts showing how, when, where, to whom, and by what means the representations were made, and, in the case of a corporate defendant, the plaintiff must allege the names of the persons who made the representations, their authority to speak on behalf of the corporation, to whom they spoke, what they said or wrote, and when the representation was made." (*West, supra*, 214 Cal.App.4th at p. 793, internal citations and quotation marks omitted.) The FAC does not allege the how, when, where, to whom, and by what means of any specific representation made by Apple. Moreover, given that Apple is a corporate defendant, the FAC needs to allege the name of any person who made a representation, their authority to speak on behalf of the corporation, to whom they spoke, what they said or wrote, and when the representation was made. The FAC does not do so.

Given the court's discussion of Section 230, the court SUSTAINS Apple's demurrer to the FAC's first cause of action without leave to amend.

4. Second Cause of Action: Negligence

"The elements of a negligence cause of action are duty, breach, causation, and damages." (*County of Santa Clara v. Atlantic Richfield Co.* (2006) 137 Cal.App.4th 292, 318, internal citation omitted.) The FAC alleges that Apple "owed a duty of care to App Store users to prevent fraudulent applications from operating on its platform. Apple breached that duty by

allowing the fraudulent app to remain available and by processing in-app transactions associated with the app.” (FAC, p. 2.)

For reasons already discussed, the court agrees with Apple that the FAC’s allegations that Apple “owed a duty of care to App Store users . . .” and that “Apple breached that duty . . .” are “premised upon precisely the kind of publisher liability that Section 230 precludes.” (FAC, p. 2; MPA, p. 8:22-26, internal citations and quotation marks omitted.)

The court also agrees with Apple that the FAC fails to sufficiently allege “a causal nexus between the mere existence of the app on the App Store and Plaintiff’s alleged damages.” (MPA, p. 9:1-2.) “A plaintiff must allege a causal connection between the negligence . . . and the injury he suffered. Ordinarily that is accomplished by implication from the juxtaposition of the allegations of wrongful conduct and harm. However, where the pleaded facts of negligence and injury do not naturally give rise to an inference of causation the plaintiff must plead specific facts affording an inference the one caused the others.” (*Berkley v. Dowds* (2007) 152 Cal.App.4th 518, 528, internal citations and quotation marks omitted.) Here, the FAC alleges that Apple “hosted” an application that Ferrari used, Ferrari’s account became locked, Ferrari reported this issue to Apple, Apple breached its duty to Ferrari by allowing the fraudulent app to remain available, and, as a result, Ferrari seeks \$2,000,000 in damages from Apple for “financial loss, emotional distress, and loss of time and resources.” (FAC, pp. 1-2.) It is unclear to the court from these allegations how Apple hosting an application and allowing it to “remain available” has resulted in, for example, “loss of time and resources” and the FAC does not plead any facts in support of this allegation. Relatedly, the court notes that the FAC does not actually allege what entity or person Ferrari made any payments to—the complaint merely alleges that “payments were made.” (*Id.* at p. 1.)

Given the court’s discussion of Section 230, the court SUSTAINS Apple’s demurrer to the FAC’s second cause of action without leave to amend.

5. Third Cause of Action: UCL

The FAC does not describe any conduct specific to its UCL cause of action outside of alleging that “Apple’s conduct in distributing and profiting from the application constitutes unfair and deceptive business practices under California Business & Professions Code § 17200.” (FAC, p. 2.) Therefore, the FAC’s UCL cause of action appears to be based upon the same allegations underlying its fraud and negligence causes of action, both of which the court has found to be insufficient. When the underlying cause of action fails, a derivative UCL cause of action also fails. (*AMN Healthcare, Inc. v. Aya Healthcare Services, Inc.* (2018) 28 Cal.App.5th 923, 950 [“Thus, when the underlying legal claim fails, so too will a derivative UCL claim. Because all of AMN’s other claims fail as a matter of law . . . so too must its derivative UCL claim.”], internal citations and quotation marks omitted.) Moreover, the court agrees with Apple’s point that Section 230 “preempts” a cause of action brought under state law to the extent that any alleged liability is “inconsistent” with Section 230. (47 U.S.C. § 230, subd. (e)(3) [“No cause of action may be brought and no liability may be imposed under any State or local law that is inconsistent with this section.”].)

Given the court's discussion of Section 230, the court SUSTAINS Apple's demurrer to the FAC's third cause of action without leave to amend.

Calendar Line 7

Case Name: Joe Teixeira v. Danco Builders Northwest et al.

Case No.: 26CV486090

BACKGROUND

This action arises from drywall and related construction work performed on the Madrone Place affordable housing project at 777 West San Carlos Street in San Jose, California.

(Complaint at ¶ 3.) Plaintiff Joe M. Teixeira, doing business as Nor Cal Drywall ("Plaintiff") alleges that defendant Danco Builders Northwest ("Danco") was the direct contractor on the project and that Plaintiff entered into a written subcontract with Danco to furnish drywall work. (*Id.* at ¶ 2; Cross-Complaint at ¶ 12.)

Plaintiff alleges that it provided labor, materials, equipment, and services for its original subcontract scope, as well as charge and extra work requested for the project. (Complaint at ¶ 16.) Plaintiff further alleges that the reasonable value of its work was \$3,501,900.00, that it has been paid \$2,472,885.00 and that \$1,029,015.00 remains unpaid along with interest. (*Id.* at ¶ 17.) Based on those allegations, Plaintiff asserts claims for breach of contract, enforcement of stop payment notice, recovery on payment bond, claim upon license bond, common count, quantum meruit, and prompt payment penalties.

Danco disputes Plaintiff's entitlement to additional payment. In its cross-complaint, Danco alleges that Plaintiff materially breached the subcontract by accepting payment for project work while failing to pay employees as required, failing to perform certain work in accordance with contract requirements, and inflating invoices or overbilling for the project. (Cross-Complaint at ¶¶ 15, 18, 23.)

The pleadings indicate the project was at least partially publicly funded and subject to prevailing wage requirements, including certified payroll reporting obligations. (Cross-Complaint at ¶ 13.) Danco alleges that, in August 2025, the City of San Jose notified Danco that Plaintiff was allegedly paying employees in cash without documentation and not properly accounting for all laborers or hours worked in certified payroll reports. (*Id.* at ¶ 15.) Danco further alleges that it issued a notice of breach and demand to cure on September 19, 2025, and later terminated the subcontract after Plaintiff failed to cure. (*Id.* at ¶ 17.)

Plaintiff alleges that on September 23, 2025, it served a verified stop payment notice demanding that project funds be withheld to satisfy its claim, which was then stated as \$1,604,7675.00. (Complaint at ¶ 23.) Plaintiff alleges that it later received an additional payment from Danco reducing the principal amount claimed unpaid to \$1,029.015.00. (*Id.* at ¶ 26.)

Danco alleges that the Department of Industrial Relations and the City investigated the alleged labor violations by Plaintiff. (Cross-Complaint at ¶ 19.) Danco further alleges that the City issued a November 20, 2025 Notice of Violation Penalty Assessment identifying certified pay roll reporting issues, unpaid checks, and cash payments without receipts, and demanding restitution and liquidated damages. (*Id.* at ¶ 20.)

After terminating the subcontract, Danco alleges that it assumed responsibility for completing Plaintiff's remaining work, reviewed Plaintiff's work, and concluded that Plaintiff had overbilled based on percentage of completion and had performed deficient or defective work requiring correction. (Cross-Complaint at ¶ 23.) Danco alleges that Plaintiff's work was less than 50 percent complete despite its invoice to Danco that the work was 70 percent complete. (*Id.* at ¶ 25.)

Plaintiff seeks recovery of the unpaid subcontract balance, interest, statutory penalties, attorneys' fees, and related relief. Danco by way of its cross-complaint seeks repayment of alleged overpayments, excess costs to complete Plaintiff's work, costs to correct allegedly defective work, costs associated with labor investigations, and any fines penalties, or charges arising from alleged labor violations.

Danco now moves to compel arbitration pursuant to the Construction Subcontract Agreement (“the Agreement”). Having considered the Agreement and the circumstances of its execution, the court will GRANT the motion. Danco’s request for judicial notice of the complaint and accompanying Exhibit A containing the Agreement is GRANTED pursuant to Evidence Code section 452, subdivision (d).

LEGAL STANDARD

The California Arbitration Act (“CAA”) governs the Agreement. “On petition of a party to an arbitration agreement alleging the existence of a written agreement to arbitrate a controversy and that a party to the agreement refuses to arbitrate such controversy, the court shall order the petitioner and respondent to arbitrate the controversy if it determines that an agreement to arbitrate the controversy exists, unless it determines that: [¶] The right to compel arbitration has been waived by the petitioner; or [¶] (b) Grounds exist for rescission of the agreement.”

In determining the threshold question of whether an arbitration agreement exists between the parties, the court employs a three-step burden shifting analysis. (*Iyere v. Wise Auto Group* (2023) 87 Cal.App.5th 747, 755 (*Iyere*); *Espejo v. Southern California Permanente Medical Group* (2016) 246 Cal.App.4th 1047, 1060.) The party seeking to compel arbitration bears the initial burden of showing an agreement to arbitrate. If that burden is met, the burden shifts to the opposing party to show a factual dispute regarding the agreement’s existence. If the opposing party does so, then the burden shifts back to the proponent of arbitration to show the existence of a valid agreement by a preponderance of the evidence. (*Iyere, supra*, 87 Cal.App.5th at p. 755.)

ANALYSIS

As an initial matter, there is a valid agreement to arbitrate. The moving party ‘can meet its initial burden by attaching to the [motion or] petition a copy of the arbitration agreement purporting to bear the [opposing party’s] signature. Alternatively, the moving party can meet its burden by setting forth the agreement’s provisions in the motion.’ ” (*Gamboa v. Northeast Community Clinic* (2021) 72 Cal.App.5th 158, 165, internal citations and quotations omitted.) Although the Agreement is not attached to the motion, it is attached to Plaintiff’s complaint,

which Danco seeks judicial notice of. Additionally, Danco quotes the portions it finds relevant in its moving papers. (Motion to Compel Arbitration at p. 3:15-19.)

The Court finds this recitation of the terms and reference to the Agreement as filed with the complaint sufficient for carrying the burden of proving the existence of an agreement to arbitrate between the parties. (*Hotels Nevada v. L.A. Pacific Center, Inc.* (2006) 144 Cal.App.4th 754, 765 [“Appellant carried its burden of proving the existence of an arbitration agreement between the parties by quoting the pertinent portions of the arbitration clause in its motion to compel arbitration and referencing the arbitration clause in the Agreement attached to Hotel Nevada’s complaint as exhibit A.”].) Plaintiff does not truly challenge the authenticity of the Agreement as it is signed by both parties. Accordingly, a valid agreement to arbitrate exists between the parties.

Plaintiff does not argue the right to compel arbitration has been waived or that there are any grounds for rescission of the Agreement. Instead, at issue is whether the dispute involves the Project Owners and whether the conditions precedent to filing arbitration have been satisfied. Danco moves to compel arbitration of the first, fifth, sixth, and seventh causes of action that are solely asserted against it and no other parties. Plaintiff argues the dispute at issue does concern the Project Owners considering it has asserted the second cause of action for enforcement of stop payment notice against them.

Plaintiff seeks leave to file an amended complaint which proposes that the Project Owners and Defendant are alter egos of one another. The proposed amended complaint attempts to assert various causes of action against the Project Owners. However, that amended complaint is not the operative pleading. In the current version of the complaint, Plaintiff names San Jose Sunol Street LP as a defendant in this action but it does not actually assert any causes of action against it.

It is unclear whether the dispute involves the Project Owners. The Court need not resolve this question as the scope of the Agreement covers Plaintiff’s claims and the cross-complaint regardless of whether it involves the Project Owners or not. Both disputes involving and not involving the Project Owners call for arbitration. (Complaint, Ex. A at ¶ 12.) Whether the

prerequisites for arbitration have been satisfied under either procedure is a question best reserved for the arbitrator. That is a gateway question of procedural arbitrability. (*Howsam v. Dean Wittier Reynolds* (2002) 537 U.S. 79, 84-85 .) “[P]rerequisites such as time limits, notice, laches, estoppel, and other conditions precedent to an obligation to arbitrate have been met, are for the arbitrators to decide.” (*Ibid.*)

Danco raises that although it seeks to compel arbitration of the claims asserted against it, this action nevertheless involves third parties that would not be subject to arbitration. Code of Civil Procedure section 1281.2, subdivision (c) notes an exception to arbitration where “[a] party to the arbitration agreement is also a party to a pending court action or special proceeding with a third party, arising out of the same transaction or series of related transactions and there is a possibility of conflicting rulings on a common issue of law or fact.”

However, section 1281.2 also provides the following solution: “[i]f the court determines that a party to the arbitration is also a party to litigation in a pending court action or special proceeding with a third party as set forth under subdivision (c), the court (1) may refuse to enforce the arbitration agreement and may order intervention or joinder of all parties in a single action or special proceeding; (2) may order intervention or joinder as to all or only certain issues; (3) may order arbitration among the parties who have agreed to arbitration and stay the pending court action or special proceeding pending the outcome of the arbitration proceeding; or (4) may stay arbitration pending the outcome of the court action or special proceeding.”

Consistent with the above, the Court compels arbitration of Plaintiff’s claims against Danco as well as the cross-complaint and stays this action as to the remaining claims and parties pending the outcome of arbitration. For these reasons, the motion to compel arbitration is GRANTED. This action is STAYED in its entirety pending the outcome of arbitration. (Code Civ. Proc. §§ 1281.2, subd. (c); 1281.4.)

CONCLUSION

The motion to compel arbitration is GRANTED. This action is hereby STAYED pending the outcome of arbitration.